

Changzhou Xingyu Auto (601799 CH)

Buy: 2Q26 below expectations; better risk-reward

- ◆ 2Q26 earnings below expectations on weak domestic auto demand; we expect improvement in 4Q26e
- ◆ Valuation near historical low after earnings estimate changes, with overseas expansion to support medium-term growth
- ◆ Maintain Buy; cut target price to RMB136.00 (from RMB151.00)

2Q26 earnings below expectations. Domestic auto wholesale sales fell 6% y-o-y in 1H26, while we estimate Xingyu's sales to major domestic customers declined c10% y-o-y in 2Q26 (both CPCA data), mainly due to weaker sales at key customers, including Seres and Volkswagen. 2Q26 revenue declined 6% y-o-y to RMB3.45bn but increased 1% q-o-q. The gross margin fell 1.4ppt y-o-y and 1.1ppt q-o-q, mainly due to weaker operating leverage and higher raw material costs. The company's net profit declined 18% y-o-y and 12% q-o-q to RMB314m. We expect earnings to remain under pressure in 3Q26e before gradually recovering from 4Q26e.

Risk-reward looks more attractive after the recent share price correction. We lower our 2026-27e net profit estimates by c30% each year to reflect weaker domestic demand. Following our earnings estimate cuts, Xingyu is trading at a 12.7x 12-month forward PE multiple, around the 8th percentile of its 15-year historical range and near the bottom of its three-year range (12.6x). We believe the current valuation largely reflects weaker near-term earnings. Looking ahead, key catalysts include a recovery in 4Q26e, humanoid robotic component progress, new product launches, faster overseas growth, and lower costs from localisation of key components.

Overseas expansion remains on track and should support medium-term growth. Xingyu has secured RMB4bn of new orders in 1H26 and remains on track to achieve its FY26 target of RMB8-10bn. This should support management's overseas revenue targets of RMB1bn in 2026, RMB2.5-3.0bn in 2028 and RMB4.5-5.0bn in 2029. The Serbia plant turned profitable earlier this year, while the North America plant is expected to start production in 2Q27 (source: company data). We expect overseas capacity expansion and further customer wins to support stronger overseas revenue growth.

Maintain Buy; lower target price to RMB136.00 (from RMB151.00). We continue to use a DCF model to value Xingyu. With an updated WACC and earnings estimates (we also introduce our 2028e estimates in this report) (see [page 3](#) for details), we arrive at our new target price of RMB136.00 (from RMB151.00), implying c92% upside from current share price; accordingly, we maintain our Buy rating. See [page 5](#) for **potential share price catalysts** and **key downside risks**.

Equities Auto Components

China



MAINTAIN BUY

TARGET PRICE (CNY)

136.00

PREVIOUS TARGET (CNY)

151.00

SHARE PRICE (CNY)

70.99

(as of 16 Sep 2026)

UPSIDE/DOWNSIDE

+91.6%

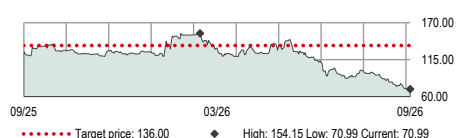
MARKET DATA

Market cap (CNYm)	20,280	Free float	100%
Market cap (USDm)	3,024	BBG	601799 CH
3m ADTV (USDm)	57	RIC	601799.SS

FINANCIALS AND RATIOS (CNY)

Year to	12/2025a	12/2026e	12/2027e	12/2028e
HSBC QH EPS	5.69	4.97	5.98	7.38
HSBC QH EPS prev	5.61	7.18	8.96	NA
Change (%)	1.3	-30.8	-33.3	NA
Consensus EPS	5.87	5.66	6.69	7.60
PE (x)	12.5	14.3	11.9	9.6
Dividend yield (%)	1.7	1.5	1.8	2.2
EV/EBITDA (x)	7.9	8.3	6.4	4.9
ROE (%)	15.1	11.5	11.9	12.6

52-WEEK PRICE (CNY)



Source: LSEG IBES, HSBC Qianhai Securities estimates

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Issuer of report: HSBC Qianhai Securities Limited

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Financials & valuation: Changzhou Xingyu Auto

Buy

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (CNYm)				
Revenue	15,257	14,988	15,987	19,129
EBITDA	2,256	1,949	2,309	2,799
Depreciation & amortisation	-635	-662	-704	-758
Operating profit/EBIT	1,621	1,287	1,605	2,041
Net interest	5	-39	19	25
PBT	1,813	1,520	1,897	2,340
HSBC Qianhai PBT	1,813	1,520	1,897	2,340
Taxation	-189	-99	-190	-234
Net profit	1,624	1,421	1,707	2,107
HSBC Qianhai net profit	1,624	1,421	1,707	2,107
Cash flow summary (CNYm)				
Cash flow from operations	2,437	1,981	1,894	1,796
Capex	-931	-870	-880	-995
Cash flow from investment	-1,450	-870	-880	-995
Dividends	-341	-298	-358	-442
Change in net debt	-350	-1,705	-1,313	-1,159
FCF equity	1,521	1,111	1,015	801
Balance sheet summary (CNYm)				
Intangible fixed assets	534	620	679	736
Tangible fixed assets	4,075	4,188	4,295	4,467
Current assets	13,598	15,262	17,296	20,612
Cash & others	2,373	4,078	5,391	6,550
Total assets	19,345	21,204	23,421	27,014
Operating liabilities	7,947	7,834	7,985	9,031
Gross debt	0	0	0	0
Net debt	-2,373	-4,078	-5,391	-6,550
Shareholders' funds	11,398	13,370	15,435	17,984
Invested capital	7,886	8,158	8,894	10,234

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
y-o-y % change				
Revenue	15.1	-1.8	6.7	19.7
EBITDA	10.7	-13.6	18.5	21.2
Operating profit	9.7	-20.6	24.7	27.2
PBT	13.9	-16.2	24.8	23.4
HSBC Qianhai EPS	15.3	-12.5	20.1	23.4
Ratios (%)				
Revenue/IC (x)	2.0	1.9	1.9	2.0
ROIC	20.1	16.5	18.6	21.0
ROE	15.1	11.5	11.9	12.6
ROA	9.0	7.2	7.7	8.4
EBITDA margin	14.8	13.0	14.4	14.6
Operating profit margin	10.6	8.6	10.0	10.7
EBITDA/net interest (x)	-	49.7	-	-
Net debt/equity	-20.8	-30.5	-34.9	-36.4
Net debt/EBITDA (x)	-1.1	-2.1	-2.3	-2.3
CF from operations/net debt	-	-	-	-
Per share data (CNY)				
EPS Rep (diluted)	5.69	4.97	5.98	7.38
HSBC Qianhai EPS (diluted)	5.69	4.97	5.98	7.38
DPS	1.19	1.04	1.25	1.55
Book value	39.90	46.80	54.03	62.95

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	1.2	1.1	0.9	0.7
EV/EBITDA	7.9	8.3	6.4	4.9
EV/IC	2.3	2.0	1.7	1.3
PE*	12.5	14.3	11.9	9.6
PB	1.8	1.5	1.3	1.1
FCF yield (%)	7.5	5.5	5.0	4.0
Dividend yield (%)	1.7	1.5	1.8	2.2

* Based on HSBC Qianhai EPS (diluted)

ESG metrics

Environmental Indicators	12/2025a	Governance Indicators	12/2025a
GHG emission intensity*	NA	No. of board members	7
Energy intensity*	NA	Average board tenure (years)	NA
CO ₂ reduction policy	Yes	Female board members (%)	28.6
Social Indicators		Board members independence (%)	42.9
Employee costs as % of revenues	NA		
Employee turnover (%)	NA		
Diversity policy	NA		

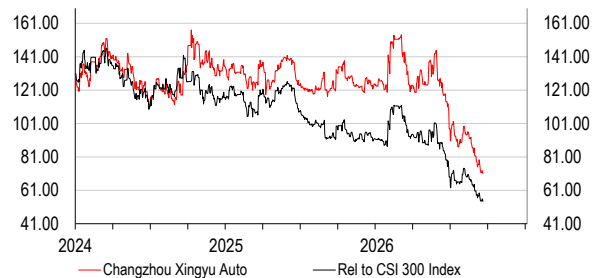
Source: Company data, HSBC Qianhai Securities

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (CNY)	70.99	Free float	100%
Target price (CNY)	136.00	Sector	Auto Components
RIC (Equity)	601799.SS	Country/Region	China
Bloomberg (Equity)	601799.CH	Analyst	Michel Liu
Market cap (USDm)	3,024	Contact	+8610 5795 2351

Price relative



Source: HSBC Qianhai Securities

Note: Priced at close of 16 Sep 2026

Estimate changes

We lower our earnings estimates on Xingyu by 31% in 2026e and 33% in 2027e, as:

- ◆ We lower our revenue estimates by 21% in 2026e and 30% in 2027e due to the slowdown in domestic EV sales.
- ◆ We lower our 2026-27e GPM estimates by 1.1ppts and 0.8ppts, respectively, to reflect intensified domestic competition, price pressure from industry-wide price cuts, and input cost inflation.
- ◆ We raise our 2026e expense ratio estimate by 0.7ppt, while we keep our 2027e expense ratio estimate unchanged, mainly on increasing R&D expenses driven by more front-loaded projects for developing key customers' new projects and one-off severance pay.
- ◆ We introduce our 2028e earnings estimate of RMB2.1bn, implying 23% y-o-y growth and a 2026-28e earnings CAGR of 22%.

As a result, our refreshed 2026-28e earnings estimates are below Wind consensus, as we are conservative on Xingyu's near-term earnings as explained above, but we remain constructive over the long term, supported by a rising higher value-added products mix and accelerating overseas expansion.

Exhibit 1. Estimate changes

(RMBm)	New			Old		Change	
	2026e	2027e	2028e	2026e	2027e	2026e	2027e
Revenue	14,988	15,987	19,129	18,966	22,739	-21%	-30%
Gross Profit	3,334	3,668	4,425	4,432	5,400	-25%	-32%
GPM (ex D&A)	22.2%	22.9%	23.1%	23.4%	23.7%	-1.1ppts	-0.8ppts
Opex ratio	9.2%	8.5%	8.5%	8.5%	8.5%	+0.7ppts	
Earnings	1,421	1,707	2,107	2,052	2,561	-31%	-33%
EPS (RMB)	4.97	5.98	7.38	7.18	8.96	-31%	-33%

Source: HSBC Qianhai Securities estimates. Note: We introduce our 2028e estimates. NA – Not Applicable/Available.

Exhibit 2. HSBC Qianhai Securities estimates versus Wind consensus

(RMBm)	HSBC Qianhai estimates			Consensus			Difference		
	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
Revenue	14,988	15,987	19,129	16,471	18,943	21,660	-9%	-16%	-12%
Net profit	1,421	1,707	2,107	1,572	1,930	2,286	-10%	-12%	-8%

Source: Wind, HSBC Qianhai Securities estimates

Valuation and risks

Maintain Buy rating; lower target price to RMB136.00 (from RMB151.00)

We continue to use a DCF model to value Xingyu. Our key assumptions include a WACC of 6.6% (from 7.3%), and a perpetual growth rate of 2.0% (unchanged). On the back of our lower earnings estimates, we lower our target price to RMB136.00 (from RMB151.00). Our new target price implies c92% upside from the current share price; accordingly, we maintain our Buy rating on the stock.

Exhibit 3. DCF assumptions – cash flow

(RMBm)	2026e	2027e	2028e	2029e	2030e	2031e	2032e	2033e	2034e	2035e
EBIT	1,287	1,605	2,041	2,468	2,635	2,811	2,886	2,964	3,045	3,128
Tax rate	7%	10%	10%	12%	12%	14%	14%	14%	14%	14%
Tax-effected EBIT	1,203	1,445	1,837	2,172	2,319	2,417	2,482	2,549	2,618	2,690
Plus: D&A	662	704	758	814	855	901	947	994	1,042	1,091
Less: Capex	(870)	(880)	(995)	(1,031)	(928)	(974)	(994)	(1,014)	(1,034)	(1,055)
+ / - Changes in working capital	(115)	(510)	(1,028)	(867)	(650)	(700)	(537)	(554)	(571)	(588)
Free cash flow	880	759	572	1,088	1,596	1,644	1,898	1,976	2,056	2,138
Terminal value										47,485
Total free cash flow	880	759	572	1,088	1,596	1,644	1,898	1,976	2,056	49,623

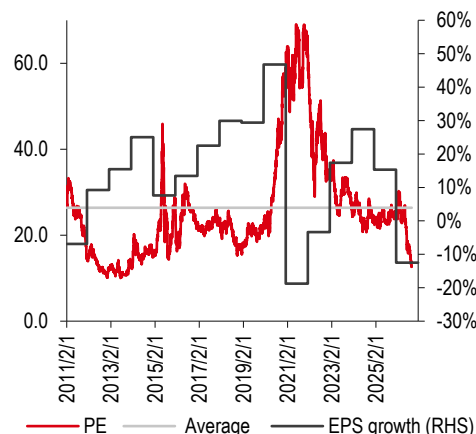
Source: HSBC Qianhai Securities estimates

Exhibit 4. DCF assumptions

WACC		Perpetual growth method	
Risk-free rate	4.25%	Terminal value	RMBm 47,485
China stock market premium (for pure A-shares)	4.75%	Enterprise value	RMBm 34,855
β beta coefficient	0.84	Less: Net debt (2026e)	RMBm (4,078)
Cost of Equity	8.2%	Less: Minority interest (2026e)	RMBm -
Cost of debt (average 2026-28e)	0.0%	Equity value	RMBm 38,933
Tax rate (average 2026-28e)	8.8%	Share count	m 286
After-tax cost of debt	0.0%	Target price	RMB 136
Long-term debt/equity ratio	20.0%		
WACC	6.6%		
Perpetual growth rate	2.0%		

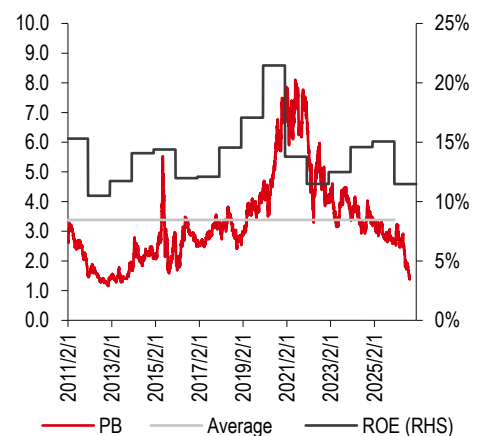
Source: HSBC Qianhai Securities estimates

Exhibit 5. Xingyu is trading at a 12.7x 12-month forward PE (x) versus its historical average of 26.4x, 15-year low of 10.0x and 3-year low of 12.6x



Source: Bloomberg, HSBC Qianhai Securities estimates

Exhibit 6. Xingyu is trading at a 1.4x 12-month forward PB (x) versus its historical average of 3.4x



Source: Bloomberg, HSBC Qianhai Securities estimates

Potential share price catalysts

- ◆ **Major customers volume recovery**, especially Chery, AITO, etc.
- ◆ **Improving mix** – rising high value-added product (i.e., ADB, DLP, HD) mix to support further growth
- ◆ **Humanoid robot component progress**
- ◆ **4Q26e earnings recovery**
- ◆ **Overseas expansion**: ramp-up of its Serbia plant and more order wins from European customers, especially more headlights orders
- ◆ **Improving cost and expense control, despite intensified competition**, supported by more in-house developed components, and more cost escalated to suppliers, etc.

Key downside risks which could weigh on the company's earnings and stock price include:

- ◆ **Muted demand from major customers, such as Chery and AITO**
- ◆ **Sluggish mix improvement from high value-added products (i.e., ADB, DLP, HD)** with a slower-than-expected penetration increase
- ◆ **Persisting pricing pressure from industry-wide price cuts in auto**
- ◆ **Worse-than-expected 3Q26 result**
- ◆ **Slower-than-expected overseas expansion**: the expansion in overseas customer penetration falls below expectations, especially the headlight order expansion
- ◆ **Worse-than-expected cost and expense control** amid intensified competition
- ◆ **Unexpected ESG issues**

Disclosure appendix

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Upside/Downside is the percentage difference between the target price and the share price.

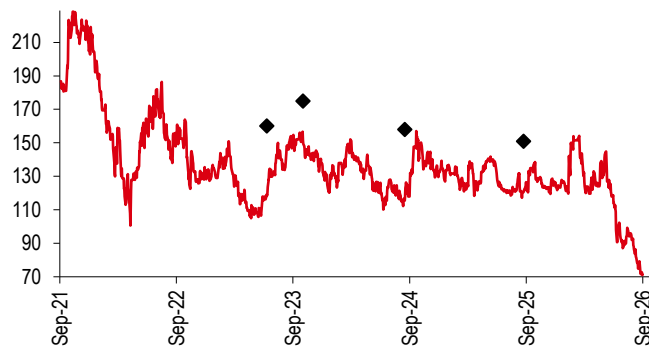
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Buy	61%	(13% of these provided with Investment Banking Services in the past 12 months)
Hold	34%	(10% of these provided with Investment Banking Services in the past 12 months)
Sell	5%	(8% of these provided with Investment Banking Services in the past 12 months)

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Share price and rating changes for long-term investment opportunities
Changzhou Xingyu Auto (601799.SS) share price performance CNY Vs HSBC rating history


Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	08 Jan 2021	Yuqian Ding
Target price	Value	Date	Analyst
Price 1	160.00	27 Jun 2023	Li Yang
Price 2	175.00	19 Oct 2023	Li Yang
Price 3	158.00	02 Sep 2024	Li Yang
Price 4	151.00	09 Sep 2025	Michel Liu

Source: HSBC

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Company	Ticker	Recent price	Price date	Disclosure
CHANGZHOU XINGYU AUTO	601799.SS	71.33	17 Sep 2026	–

Source: HSBC

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